

2 . Industry, Regulatory & Macro Lateral Factors

As of - - . Tailwinds and headwinds that move ONDS independent of company execution.

1 . The "friendly supply-chain" regulatory stack (TAILWIND — the core structural bull case)

A reinforcing set of US rules systematically excludes Chinese drones (DJI/Autel) and channels demand to NDAA-compliant US makers. Ondas/American Robotics sits inside every gate.

Layer	Status	What it does	Relevance to ONDS
NDAA § (FY)	ENACTED	Bars DoD from procuring UAS w/ critical components from China (later Russia/Iran/NK)	DoD can only buy compliant UAS
American Security Drone Act (ASDA)	ENACTED (PL - , Dec); operating ban effective Dec , ; FAR ; in contracts since Nov ,	Extends ban government-wide (agencies, contractors, grant recipients)	Closes entire federal drone market to Chinese makers
§ (FY NDAA) → FCC Covered List	ENACTED; FCC added foreign-made UAS to Covered List Dec ,	New DJI/Autel models can't get FCC authorization → can't be sold in US	Reaches the commercial market, not just gov
EO "Unleashing American Drone Dominance"	SIGNED Jun ,	"Prioritize US-made UAS"; expand Blue UAS list; accelerate BVLOS rule	Buy-American-drones mandate + Blue List on-ramp
EO "Restoring American Airspace Sovereignty"	SIGNED Jun ,	C-UAS task force; DOJ/DHS grants for state/local C-UAS buys	Funds demand for Iron Drone Raider + Sentrycs
Blue UAS (DCMA) / Green UAS (AUVSI)	Programs	Pre-vetted compliant-UAS lists = procurement fast-track	Optimus added to Blue UAS Cleared List Jan , (after Green UAS -)

Sources: congress.gov S. (ASDA); federalregister.gov FAR - ; dronelife.com (FCC Covered List Dec ,); whitehouse.gov EO ; ir.ondas.com/press-releases/detail/ (Blue UAS). **Flags:** FCC determination legal basis partly ambiguous (determination vs auto-trigger); OMB memo M- - contents not fully reviewed.

2 . Demand drivers (TAILWIND)

- **Counter-UAS demand surge:** drone incursions over airports/bases, Ukraine + Middle East conflicts driving global C-UAS spending; EO grant funding for state/local agencies.
- **Defense-tech funding boom:** private defense-tech investment >\$. **B in first months of** (vs \$. B full-year , \$. B in). Anduril \$ B Series H at \$ **B**; Palantir FY revenue + % to \$. B. Rising tide for ONDS-type valuations and capital access.
- **BVLOS / Part** : DOT/FAA issued proposed Part BVLOS rule **Aug ,** (final targeted within days of EO). Unlocks scaled, no-pilot-on-site autonomous operations central to American Robotics/Airobotics.

Macro / financial conditions (MIXED)

- **Fed funds** - % , held at June , FOMC (first meeting under new Chair Kevin Warsh); reached via consecutive cuts since Sep . June dot plot turned **hawkish** (~ % median, fewer cuts ahead). [usbank.com; tradingkey.com]
- **Russell** +~ % YTD **at records** — "great rotation" into small caps; capital-raising window for dilutive defense-tech names is **wide open** right now. BUT: - % of R companies can't cover interest from operating profit; \$ **B** **maturity wall** — ONDS sits in this fragile cohort. [ibtimes.com.au]
- **Interpretation:** favorable raise environment today; a risk-off turn (hawkish Fed, geopolitical de-escalation removing the defense bid) would close that window fast for the weakest names.

Industry structure / consolidation (HEADWIND for sub-scale players)

- **Axon → Dedrone** (closed Oct , ; value undisclosed) — C-UAS consolidation.
- **AeroVironment → BlueHalo** (~\$ B all-stock, closed May ; pro forma rev >\$ B) — scaled "next-gen defense tech" spanning UAS/C-UAS/space/cyber/directed energy.
- **"System of systems" trend:** procurement favors integrated stacks + lead-system-integrators over point solutions (e.g., Perennial Autonomy \$ **M C-UAS IDIQ**, May — largest single C-UAS award). Pentagon's reported ~\$ B autonomous-warfare bet.
- **Shakeout thesis (Anduril co-founder Trae Stephens, Jun):** "a couple of new credible players, the rest is noise"; mid-stage defense startups at " - x" multiples vs industry - x revenue — "disconnected from reality"; predicts consolidation, few survivors. (Interest-conflicted opinion, but well-sourced.)

Key risks / headwinds table

Risk	Description
Regulatory delay	BVLOS/Part final rule slippage delays scaled DaaS economics
Customer concentration / lumpy gov procurement	Orders are large, episodic, often undisclosed customers
Dilution	Serial equity issuance (>\$ B raised Jan); share count growth
Competition from primes	Anduril, AVAV+BlueHalo, Axon, RTX/Lockheed bundling system-of-systems
Valuation/shakeout	Frothy defense-tech multiples insiders call "disconnected"; slowing strategic-M&A exit path
Integration risk	+ acquisitions in — execution/accretion uncertainty
Geopolitical reversal	De-escalation (Ukraine/Middle East) removes the C-UAS demand bid

Sources

- whitehouse.gov EO : <https://www.whitehouse.gov/presidential-actions/unleashing-american-drone-dominance/>
- FAR : <https://www.acquisition.gov/far/>
- FCC Covered List (Dec ,): <https://dronelife.com/fcc-adds-foreign-made-drones-and-components-to-covered-list-citing-national-security-risks/>
- Ondas Blue UAS approval: <https://ir.ondas.com/press-releases/detail/ondas-american-robotics-optimus-drone-approved-for-rapid>
- FAA Part BVLOS (proposed Aug ,): congressional/FAA & gtlaw.com summary

- Defense-tech funding: <https://www.washingtontimes.com/news/2018/jun/14/investment-defense-tech-soaring-pentagon-encourages-venture/>
- Anduril \$ 1.5B/\$ 3.5B: <https://techcrunch.com/2018/06/14/anduril-raises-150-million-series-b-doubles-valuation-to-350-million/>
- AVAV-BlueHalo: <https://investor.avinc.com/news-releases/news-release-details/aerovironment-acquire-bluehalo-establishing-next-generation>
- Perennial \$ 10M C-UAS IDIQ: <https://defensescoop.com/2018/06/14/pentagon-awards-10-million-contract-to-perennial-autonomy-for-counter-drone-systems/>
- Stephens shakeout: <https://fortune.com/2018/06/14/anduril-trae-stephens-founders-fund-defense-tech-ipo-palantir-venture-capital/>